

Origins of food crisis in India and Developing countries

European countries depended on colonial agriculture:

→ weather (winter)

→ lack of fertile land.

⇒ European consumption depended on ~~not~~
→ colony's tropical land/fertile land

⇒ European consumption pattern ~~can~~ serve as
for colony's ~~just~~ land pattern, environmental
pattern, labor, agricultural pattern
change ~~etc~~.

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→ Europe: food crop & cash crop

production & colony life

→ ~~অধীনস্থ~~ African states for same
colonial pattern follow ~~একই~~

↓ ↓
Bangladesh: shrimp production → some colonial
pattern

→ Global meat production

"Origins of the food crisis in India and
Developing countries"

~ Utsa Patnaik

→ The Human Food-Animal Feed Competition

Political Economy of Global meat Production

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The Human Food- Animals Feed Competition

Political Economy of Global meat Production

Global demand for meat is rising.

[See: List of countries by meat consumption $\rightarrow$ Wikipedia]

$\Rightarrow$ meat consumption rising in:

$\rightarrow$ newly emerging nations

$\rightarrow$ middle east

$\rightarrow$ East Asia (Malaysia, Indonesia)

$\Rightarrow$ meat consumption is rising where
per capita income is on a rise

Reason for increase in meat demand:

1. Emergence of middle class (income rising)
2. Urbanization (Restaurants rising)

→ more restaurants mean more demand for meat, which is kind of artificial demand.

→ more people (including women) working less time in the kitchen.

3. Processed food.

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⇒ Where do they source their meat from?

~~⇒ Countries with~~

⇒ Largest meat exporting countries:

i) Brazil

ii) US

iii) Australia

iv) Argentina

v) India

vi) New Zealand

vii) Canada

~~⇒ Land~~

⇒ There are also very large countries

→ Good amount of land for grazing

⇒ India ⇒ mainly export: buffalo meat

Indian govt is officially promoting meat export. What is the problem with that?
Is it good or bad?

- ⇒ For large amount of animals production, huge amount of grazing land is required
- ⇒ 15/20 years ago, when there was not massive industrialization ⇒ there was no need for extra grass
- ⇒ Barren field was available
- ⇒ cattle grazing was easy, not a issue of concern

⇒ Now with industrialization

- ⇒ Cost of grazing was nearly zero
- ⇒ Almost no cost for feeding the animals ⇒ zero production cost

Now with industrialization/urbanization,

↓ ↓

Crazing land is diminishing

⇒ Little/No grass is available.

↓

Crazing land is replaced by stall feeding.

Stalls feeding means extra cost

⇒ But, this is a problem of individual business.

~~And~~ why is it a problem for India?

⇒ India ⇒ exports buffalo meat.

⇒ India ⇒ large amount of animal production

⇒ Thus, it became a problem.

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⇒ Political economy of feed:

⇒ Country that is a large exporter of meat, requires a large amount of feed.

⇒ That country would attempt to produce feed by themselves.

Feed: Grass, Straw, Husk, Mustard cake/Oilcake

1. One kg beef requires $\Rightarrow$ 7 kg feed

2. One kg poultry meat requires $\Rightarrow$ 2 kg feed

3. One kg milk " $\Rightarrow$ 0.2 kg "

⇒ Requires too much land for producing feed.

How does it ~~change~~ affect food/grain pattern?

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⇒ To increase meat export, it is required to have a substantial amount of feed.

⇒ Even though some of the components of feed are bi-products of agricultural production for human consumption, when the ~~feed~~ demand for feed is unimaginably high, they can not simply rest on mere bi-products, rather attempt to ^{build} ~~arrange~~ their own production ~~system~~ ~~process~~ system.

And, for extra production of feed, they need extra land. ~~This land is then used for~~

That is, land is then being used for feeding the animals to earn foreign currency, not to

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feed human.

Two forms of grain consumption:

1. Direct grain consumption

→ Boiled rice, Roti, Tostilla,

Pita bread : developing countries

→ bread, ^{biscuits,} ~~biscuits~~ cakes : developed countries,

2. Indirect grain consumption:

→ egg, butter, milk, poultry,
red meat

⇒ with rising meat consumption, indirect grain consumption increases.

⇒ Meat consumption rose for:
⇒ urban people
⇒ upper middle class
⇒ higher income group
⇒ they go to restaurants

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⇒ High mass meat consumers constitutes a small proportion of the population

And this consumer group is ~~consumes~~ not only consuming meat, they are also consuming a whole lot of grain indirectly.

⇒ Indian meat is being exported to middle east / east asia / rich countries

⇒ Indian grain is therefore satisfying the demand ~~for~~ of rich countries, which would otherwise be consumed by local population

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The number of cows and goats have increased in Bangladesh.

Cow

2008

2020

Goat

In India, grain consumption of poor people has decreased. (In last 10 years)

If Bangladesh decides to export meat, big companies may attempt to conquer agricultural land for feed production

⇒ Napier grass ⇒ millioner

⇒ Farmers are not well-off with rice or vegetable production (food grain) but, earning a lot with napier grass production, which is a feed for animals and ultimately satisfying the demand for rich people.

⇒ Profit/earning is uncertain with rice production

⇒ Whereas, napier grass is probably sold in a pre-contractual basis, and thus risk is minimum

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⇒ Growing urbanization and increasing trend number of restaurants indicates an rising demand for meat, and this rapid growth.

⇒ In terms of earning money, rapid growth is way more attractive than food grain production

Abdul Gafur: Gaibandha ⇒ Kotipahi by producing rapid growth.

⇒ Monthly income 90,000 taka

512.11

⇒ Expert opinion as an officer of livestock department (Previous Q)

⇒ Restriction on agricultural land from alternatives as while making doing no harm to the farmer

⇒ Initial concern of govt. ⇒

↓ ↓

Farmers should not divert to rapier farming to obtain higher profit →

⇒ Agriculture ⇒ Biggest strength of India/Bangladesh

⇒ So, farmers should not incur a loss in cultivating paddy (rice)

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⇒ minimum support price (MSP) in India

⇒ ~~go~~ MSP: govt directly purchases rice from farmer

⇒ 1) MSP: direct purchase

2) Increasing stock

3) transparent system

∴ Govt. policy must have to change.

⇒ Farmer should not be harmed,
should not incur a loss.

should not be in risk (in

terms of profit/
price)

Political Economy of Free trade / Trade liberalization

Trade liberalization: → free flow of goods & services
→ no/less

Trade liberalization ⇒ free flow of goods & services internationally
⇒ no/less trade restriction

⇒ No nation has completely free market.

How can a nation liberalize its
trade policy?

- i) Elimination/Reduction of tariff/custom duty
- ii) " of Quota restriction
- iii) " of duty on raw material

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How a nation applies protectionist policy:

i) Impose/increase tariff/custom duty

ii) Subsidy to local producers

⇒ Free trade benefits all (in the long run)

⇒ Do you agree with this statement?

why?

Initials logic: Local producers may be

harmed initially. But with time

local producers will learn to compete.

And inefficient producers will leave

the market.

5/2/12

Free trade → elimination of / reduction of
tariff



Benefits of free trade:

i) Access to / availability of products
~~from~~ local producers do not produce
at all.

Example: some specific drugs / medicine /
medical equipment

Capital machinery, Submarine?

ii) Access to high quality products, that
~~from~~ local producers produce but at
quality is low.

5/2/12

Example: Electronics, Car, Cosmetics, Indian
↓
(Japan, Korea) Saree/Lehenga

Winner: High income consumers

Losers: Local producers, trying to produce
high quality products (waste)

Local Jamdani / Banarasi & Saree producers

iii) Availability of luxury goods, that local
producers produce less / does not
produce

Example: Luxury cars, I-phone, Perfume, Chocolates
(BMW, Porsche, Mercedes, Audi)

Winner: Very high income consumers

Losers: The nation, everybody. (Foreign currency
outflow)

5/2/12

Even though, luxury cars are purchased with their ~~own~~ very high income consumer's own earning, it incurs an outflow of foreign currency, that impacts everyone in the country.

Moreover, this ~~foreign~~ luxury cars are may be bought by the group of rich people ^(RMA producer) who facilitate for the foreign currency earning.

Then what? what's the argument?

1) The earning is by exploiting labors (marxist argument)

2) The owners are privileged with govt subsidy and govt loan.

This loan is basically from public sector. i.e., RMA producers ^(grow) earn with the help of public money

5/2/22

If foreign currency is expended to satisfy the demand of excessive rich portion in purchasing luxury cars, foreign currency necessary to purchase necessity goods may fall short

(iv) Availability of cheaper goods, that local producers produce but at a higher price

Example: Chinese/Indian electronic goods, bag, shoes
→ chargen light,

Winners: Consumer

~~Losers:~~ Losers: Local producer

5/12/12

Indian/Pakistani clothes may be cheaper, (some specific clothes), but since local producers also produce such clothes, they will be harmed with free trade and be benefitted with trade restrictions.

- ⇒ Conflicting interest present in the market
- ⇒ Some wins/benefits and some losses in the trade liberalization process

#Conflicting groups:

1. High income consumers ⇒ benefitted
2. Low income consumers ⇒ benefitted

5/12/12

But, if high income consumers rely more on imported goods, which leads to excess foreign currency outflow, then low income people, ~~suffers~~ (everybody) suffers.

~~Consumer~~

⇒ with an increase in income, consumers tend to purchase foreign goods

⇒ But this is also true, local producers often target mass audience of the nation, not a small portion of rich consumers

3. Local producers/industry (existing)

⇒ harmed in every way

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If trade is not liberalized, existing
local industry will be benefitted
This would also give rise to another
group → potential local producers

1. Potential local producer.

If high tariff/quota is imposed on the
import of agricultural machineries (Indian/Chinese
tractor), existing local producers will
attempt to increase their market
share. Moreover, the market is large,
therefore there is incentive for
potential producers to enter the market.

This is an argument in favour
of protectionist policy.

5/12/12

Argument in favor of protectionist policy
→ Reducing import dependency

→ Producing necessary products by ourselves

In that case who will be harmed?

⇒ Consumers : high price
low quality

⇓
stuck with only one choice,
that is from local producer

18/11/16

"Role"

5/2/12

"Role of the State"

Target: Protect local producer/industry

In order to: create large number
of employment →

Policy 1: Provide subsidy to selective industries

→ Fund

Financial subsidy: → Loan

→ Credit free loan

→ Preferential credit

⇒ Research and Development

⇒ Allocating land/area

⇒ Subsidizing rent

5/12/12

Govt must be careful in choosing the industry that they aim to protect. That industry must have good potential and ability to compete in international market. Then, if the industry can not compete, govt can apply protectionist policy.

Policy 2: Impose tariff/higher custom duties

→ tariff on some selected product

Policy 3: Elimination of import duty on raw material

(Cotton, Yarn, Fabrics)

↓
for RM

→ electronic gadgets parts

Problems..~~1. $\Rightarrow$ Tariff war~~

i) Tariff war.. If we impose tariff on chinese goods, china will reverse the action.

ii) It kills competition: No incentive to improve quality and lower price.

example: Beef

5/2.13 (1)

12.02.24

"Impose duty on Indian Yarn: Bangladeshi
textile millers urge govt."

⇒ News report: Daily Star

⇒ Look for following questions:

- i) Why BTMA asked for import duty?
- ii) Why Indian yarn is cheap?
- iii) If Bangladesh impose duty on
Indian yarn should the Indian
millers worry?

5/2/13

⇒ Why Indian yarn is cheap?

i) Highly subsidized by Indian govt.

ii) Stockpiling of unsold yarn

↓
govt. subsidized the stock maintenance

→ Local millers selling price: \$2.80 - \$2.90 per kg

→ Indian imported yarn price: \$2.60 - \$2.70 per kg

Interest groups:

i) BTMA → Bangladesh Textile Mills Association

ii) CMAI → Clothing Manufacturers Association of India

5/2/13

① Should the Indian millers worry?

⇒ Huge trade deficit?

In FY 2017-18 & FY 2018-19

Bangladesh exported: \$566m garment item

imported: \$7.246 raw textile material.

⇒ Bangladesh annually produces yarn worth \$12m

~~⇒ Local millers supply 85% raw materials to the Knitwear section.~~

⇒ local millers:

→ supply 85% raw materials ⇒ Knitwear section

→ " 35% " ⇒ Woven section

∴ Importer group: RMC → Knitwear, woven ⇒ Exporters (BamLA)

5/2/13

since Bangladeshi yarn is expensive, if RMA producers purchase Indian yarns, that would leave local yarn producers worse-off.

⇒ If there is strict restriction on importation of Indian yarn, both "local yarn producer" and "potential of local yarn producer" will be benefitted.

⇒ BTMA also demanded such incentives to increase from 9% to 10%.

Q: How would an increase in import duty on Indian yarn will affect different interest groups in Bangladesh and India?

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⇒ Local producers can not produce cheap

Yann at a cheap cost and therefore
urges govt to impose tariff on
import of Indian yarn

⇒ Then explain:

~~what if BD impose import tariff~~

what if BD increases import tariff

or,

what if BD does not increase import tariff

Interest groups:

BTMA: → Already affected

→ demand 10% cash incentives

→ impose import tariff on Indian

Yarn

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EMAJ:

→ Demands:

⇒ Impose additional duty on apparels
import from Bangladesh

BD cost:

Can negotiate with Indian govt
regarding tariff, as BD is already
in trade deficit.

con.
BGMEA

→ Export apparel items at cheap
price

→ They prefer Indian yarn over
local millers yarn (cheap)

Potential production:

→ Not an easy way because
of high entrance cost

5/12/13

Local cloth producers (not export-oriented)
⇒ which yarn do they use? local or imported?

⇒ If local yarn is used, to what extent?
⇒ significant or not?

One aspect of free trade is, it creates different groups of conflict of interest in the same society

⇒ Free trade does not harm/benefit all

⇒ Complex conflict of interest may persist in a society.

5/2/13 · (2)

12.02.24

Historical protectionist policy (US)

American independence: 1776

Before 1776 $\Rightarrow$ British colony

$\rightarrow$ market: open

$\rightarrow$ US market flooded with

British consumer goods

US: first need industrial base

$\Rightarrow$ Proponent of infant industry argument:

$\Rightarrow$ Alexander Hamilton

Infant industry argument: when a nation needs to protect local new industries from competition.

at initial levels: industry is highly uncompetitive.

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→ History of tariff / protectionist policy

→ No industry

→ Inhibitor to establish industry

→ Alexander Hamilton: import duty on British goods.

1776-1792: 5% flat tariff on British goods

1792-1812: 12.5%

1812: war with Britain tariff doubled
25% tariff.

1816: 35%

1820: 40%

1832: 40%-50%

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DJY

3 products of

3 import

DJY

Tariff rate on 3 imported products to Bangladesh.

Impact of tariff on producer/consumer?

Is there any conflicting interest?

⇒ At the initial stage, American trade policy was dependent on heavy tariff

⇒ tariff on finished product

⇒

tariff on raw material.

⇒ who gains?

502.13

51.502

⇒ Impact of high tariff rate in USA

⇒ who gains?

⇒ USA : → Northern states

→ Southern states

Southern interest : ⇒ Agro-based

⇒ cotton plantation

⇒ slavery based

Northern interest : ⇒ Urban

⇒ Manufacturing industry

⇒ Worker's wage-based

British good ⇒ mainly cloths

↓
wool + cotton

[This is the reason, cotton was so important]

⇒ Northern states: competes with

∴ North ⇒ prefers: protectionist policy →

⇒ Northern industry will be hurt by
~~British~~ British clothing (with free trade)

British cloth ⇒ high quality, low price

Because: → Colonization

→ Naval base

→ established industry

⇒ Initially, both north & south preferred
 high tariff.

⇒ South saw a chance for them
 to grow

⇒ But South was so focused on plantation, that they could not reap the benefit of protectionist policy

⇒ No industrial expansion in south

Southern consumer hurt by high tariff.

⇒ Access to high quality, low price imported goods declined/decreased.

⇒ But, northern people (workers) are loyal to the industry.

⇒ Northern consumer: wage raised of manufacturing industry

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⇒ Northern argument: job security
→ related to high tariff

⇒ Not all the consumers behave in the
same way

~~#Due~~
#Due to high tariff,

Revenue & Profit of British producers → decline

In those time, southern cotton was exported
to Britain, and yarn/fabric from Britain
was imported by USA

If British producers lose revenue, then
Southern producers will be affected.
British producers may demand less
cotton then.

502/13

- Cotton import from USA will decline -
- Southern producers less.

These are ultimately get balanced
in the long run.

- Our analysis is valid in the
short run.

Q. Whose interest should ~~we~~ we as a
govt. prioritise?

→ Northern.

→ Industrial expansion is beneficial

in the long run, even though

consumers may be harmed

in the short run.

→ Industrialization is difficult without protectionist policy.

⇒ Govt. must balance the cost to the consumer and the benefit in the long run from industrialization.

→ Consumer may be compensated.

⇒ Now a days, trade is so liberal for developing countries that the local infant industry does not get enough protection or patronization to grow.

⇒ History of British/US trade policy is the history of protectionist trade policy.

→ Trade/tariff policy at the initial level of industrialization determines the level of industrialization in the nation.

→ (Government must provide all the necessary infrastructure for the development of the nation.)

Historical Protectionist Policy (Britain)

Britain in 17th & 18th century $\Rightarrow$ mercantilist

$\Rightarrow$ main policies of Mercantilism:

- i) Maximize export
- ii) Minimize import
- iii) Destroy foreign competition

$\Rightarrow$ For minimizing import, $\uparrow$ ISF is required.

ISF: Import substitution industry

$\Rightarrow$ ISF of finished good is required to minimize import.

⇒ To minimize import & build ISI

i) Elimination of tariff/duty on
raw material

ii) High tariff on ^{foreign} finished goods
or
Ban foreign finished goods

iii) Duty Draw back on raw material

↓ ↓
(Importing raw material with duty,
but getting refund after utilization)

To maximize exports
(example $\rightarrow$ BD: RMOT)

$\rightarrow$ Elimination of tariff on raw

material

~~$\rightarrow$ Export subsidy to silk, refined~~

~~sugar & gun powder industry~~

$\rightarrow$ Export subsidy to new and
existing industry.

(e.g., silk, refined sugar, gun powder
etc)

$\rightarrow$ Elimination of tariff on exporter
of manufactured goods.

⇒ Rulers were Monarchs in that period of time (18th, 19th century)

⇒ To implement those mercantilist policies Mercantilism lead to colonization.

⇒ These policies were not that harmful.

⇒ Rulers choose destruction to implement the policies.

⇒ Complete ban of a foreign product was possible.

⇒ Main spirit/spirit of mercantilism was "economic nationalism"

⇒ To build a nation's own economy that nation may completely destroy foreign competition

→ colonization was a form of economic warfare.

→ ~~Mercantilism~~ → ~~capitalism~~ → Capitalism

Mercantilism → Capitalism → Colonization for trade → Use of military force.

To destroy foreign competition:

→ Force other countries to open market for British goods

→ Force other countries to give cheap access to raw material
(invasion/colonization/military power)

→ Ban import of other countries' similar product

Example: British textiles in India

Ultimately, mercantilism leads to
colonization.

Rail $\Rightarrow$ was a product of

British cotton law

$\Rightarrow$ textile manufacturers needed cheap raw materials at a massive volume.

$\Rightarrow$ India was a cotton producing country.

$\Rightarrow$ Railroads were built around cotton plantations areas

$\Rightarrow$ Indian railway was a result of cotton lobby.

$\Rightarrow$ There is a link between mercantilism and destruction of Indian boom industry.

→ Purchasing Indian cotton at a
very low price

→ Banning Indian products on British
market.

→ Force Indian colonies to buy
British products.

⇒ By that time, Indian boom industry
was destroyed

⇒ Britain ⇒ (15th & 16th century)

was a raw wool exporter

⇒ Within a matter of 100 years, Britain became one of the largest wool-manufacturing nation

(By adopting mercantilist policy)

Britain ⇒

⇒ Britain produced raw wool from sheep

⇒ Britain exported raw wools to low countries (Netherlands, Belgium)

→ Low countries were technologically advanced than the Britain

→ Britain had no skill/industry to produce cloth.

→ Britain was the consumers of finished clothes

⇒ To produce cloth with their own raw material (Britain).

Bringing skilled worker from low countries

i) Export tariff on raw wool

ii) State subsidy to manufacturing facility

iii) Ban on raw wool export

⇒ Wool manufacturing countries collapse

i) Countries were forced to buy

British manufactured wool/clothing.

Wool Act 1699: Complete ban on
colony wool product/clothing